MOTIVATION ON THE MOTION OF "THE NEED FOR DTTA TO DRIVE FDI TO MAKE NAMIBIA AN INVESTMENT DESTINATION OF CHOICE"

6 JUNE 2023

NATIONAL ASSEMBLY

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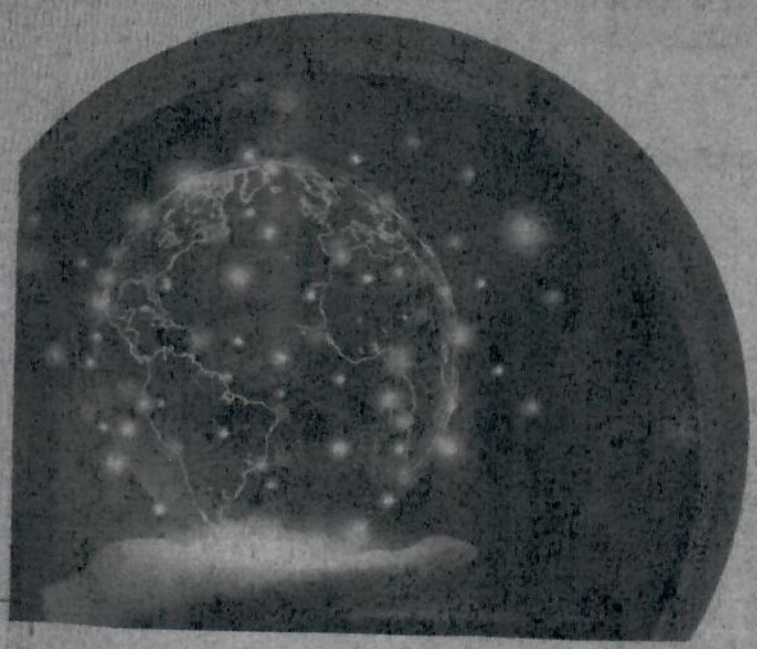

Hon. Speaker,

Hon. Members,

INTRODUCTION

1. International taxation came into sharp focus over the past decade. Headline news emerged in such notorious documentary leaks as the Panama papers, raising eyebrows about wealth distribution and how well such wealth has been hidden around the world by global elites and their criminal associates. The headline news on international taxation regimes, as mentioned above, highlighted the question of "international tax havens," and the well-established corporate practice of base erosion, which has led to massive revenue losses for many countries, especially developing nations of the world. In plain language thus, a country's taxation regime has an impact on wealth creation, retention and distribution, as taxation policy directly impacts on revenue returns from foreign direct investment.

2. It is for this reason, that it became necessary to engage in a debate to understand Namibia's objective situation, and whether the country may or may not benefit from enhancing its application of double taxation treaties (DTT's or DTA's) with her trading partners. The intention is further, in amplification and consolidation of our strategic economic and development interests, to seek if and how double taxation treaties could be of tactical importance to obtain greater global corporate investment flows, thereby becoming an "investment destination of choice." *Hon. Speaker*, given the broad nature of the subject-matter of DTT's, care is taken not to discuss in great detail all of the relevant considerations for Namibia, but merely to shine a light on DTT's and to have detailed discussion at Standing Committee level, if the Motion is agreed upon by this August House. The subject matter is also very legally technical and I avoided the use of too many conceptual undertakings to prevent a lethargic discussion, where only few members would add their voices.

DEFINITIONS AND PURPOSE OF DTT's/DTTA's/DTA's

3. Double taxation refers to a tax principle wherein income taxes are paid twice on the same source of income. Double taxation treaties or agreements are pointed toward preventing double taxation from the same source of income. They are executing a facilitation of cross-border trading and investment role by delineating taxation rights of countries **(IMF Working Paper-Sebastian Beer and Jan Loeprick, 2018).** DTT's are strictly regulated by international law, and help in preventing tax avoidance. DTT's also help determining when tax liability arises

upon a foreign investment corporation. And it further details how capital gains taxes or the taxation of dividends, royalties and interests are to be taxed in a specific jurisdiction **(Beer and Loeprick, 2018).** Often, DTTs are bilaterally negotiated between trading partners.

4. Further important function of DTTs are to: encourage cross-border economic trade and eliminating discrimination upon foreign nationals and non-residents (IGF and ISLP). It has been established that DTTs are subject to abuse by shifting profits to gain from favourable treaty partner jurisdictions' tax regimes or to utilize legal loopholes to generate non-taxable income (IGF and ISLP). The Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting-MLI-was created and agreed upon to curb the abuse of DTT's. The general and very fundamental issue is for developing nations to carefully be alive to the direction of global capital flows, the risk of treaty shopping as well as the effectiveness of tax treaties to attract investment of value, the latter being the consideration underlying this Motion.

Hon. Speaker,

Hon. Members,

NAMIBIA AND DOUBLE TAXATION TREATIES

5. Since our independence, successive governments have made it a priority to draw foreign investment into Namibia. The results have been mixed and broadly disappointing. Some of the afore-mentioned disappointment emerged out of our small population size that didn't offer a huge market, or that we lacked infrastructure to attract specialized types of investments, or that we did not have the technical skills to optimally execute certain product value chains or many other reasons that were relevant then, which we may have overcome now, or others that are relevant today still, and which we are unable to overcome. The international economic recessions also played into our misfortunes.

6. However, the lack of double taxation treaties has also played a significant share in marking Namibia as an unattractive destination for a *bona fide* investor. Many interested investors have been chilled by the investment environment where they would not gain the benefit of double taxation regulations, which would have made their business in Namibia much more applicable and appealing, as global enterprise would have it. It appears therefore that the absence of double taxation treaties with many of our major trading partners and beyond, is an Achilles' heel that

requires our immediate action to ensure that we add to the country's standing as a welcoming and ready-for-business jurisdiction.

7. Namibia has hitherto entered into double taxation treaties with: Botswana, Malaysia, South Africa, France, Mauritius, Sweden, Germany, Romania, United Kingdom, India and the Russian Federation. This is too small a number of countries for Namibia's ambition for economic development. We urgently need to scale up and to do so dramatically. We have a Tax Treaty Negotiation Committee acting under the aegis by the Ministry of Finance and Public Enterprises: but that Committee is too thin and skills deployment appears distinctly poorly compartmentalized. Given the size of our economy, our country has to expedite the treaty regime with various countries so that we are able to optimize benefits that will accrue from the entry into treaties with important trading partners, as well as others that are emerging economies.

Hon. Speaker,
Hon. Members,

GLOBAL ECONOMIC AND TAXATION REVOLUTION

8. Various countries of the global South have emerged as stronger economies and trading blocs by GDP size, such the BRICS, while the G77 countries are equally imbued as friendly nations with Namibia. There are opportunities for us to benefit from the global South economic revolution, by channeling relevant tax treaty regimes with these economies at scalable levels, to render ourselves as an investment destination of desire. Countries of the global North's strongest economies, viz. G7, have agreed in July 2021, together with G20 nations, to obtain some global convergence on international corporate tax regime and the need for a global minimum tax rate **(The End of Money: Buckham et al, 2022).**

9. Such global minimum tax rates are important, if one accounts for WEF estimates in 2021, that US$200 billion in global tax revenue was lost, as about 40% of multinationals shifted their profits to tax havens **(Burkheim et al, 2022).** There is no argument that corporate base erosion activities have challenged the efficacy of these treaties, while "treaty shopping" has been a major corporate activity, functioning as a profit maximization buffer by many multi-nationals. These are real pitfalls: and we have to constantly work to improve the national and global trading and tax regimes as an evolutionary process, rather than a stagnant one. I wish to underline that our attempt is not to create a tax haven along the lines of Mauritius and the Bahamas, but rather to heap ourselves with appropriate taxation polies to locate us as *"an investment destination of choice."* As a country we are entering

a new phase of our economy, with oil as part of the major products of Namibia. Our readiness to approach international trade and tax policies with greater flexibility and innovation is required more than ever-before. I must hasten to add that these double tax treaties are by no means the magical stick for upward investment flows into any country: they are merely a part of the national policy framework mix to spur FDI. And there is some good evidence that double taxation treaties actually help a country to draw sizable FDI. Some country results are very mixed and often negative after tax treaties have been entered into. Yet, any country must always ensure that the benefits of double taxation treaties outweigh the disadvantages **(IMF Working Paper-Beer and Loeprick).**

Hon. Speaker,
Hon. Members,

NAMIBIA AS THE "TALENTED TENTH"

10. In 1903, in an eponymous essay, W.E.B Du Bois referred to the duty of the educated few, whom he called the *"the talented tenth"* to their society **(Ngcukaitobi, 2018).** He narrated that "exceptional men" will have to save the negro, and he crafted it as the need to first develop the best of this race to guide the people *forward* [paraphrase]. Today one wonders whether the principle of the *"talented tenth"* of du Bois cannot be escalated to the nation-state theatre: can Namibia be one of the "talented tenth" in Africa? While being a country with a very small population, while also the most climate change vulnerable nation in Sub Saharan African, yet, we are ranked as 9th top diamond producer nation, 3rd fish exporting nation, 2nd top Uranium producer and 7th grape producer. Can we, by entering into progressive double taxation treaty regimes perhaps help ourselves to push arc of foreign investment in our favour, after so many years of trying to get the world to accept us as an investment friendly country?

That answer lies exclusively with us here.

Hon. Speaker,
Hon Members,

11. As I indicated earlier in my motivation of this Motion, I took the route of a more discursive discussion, not a highly technical-legal narrative, so that the House may give broader input generically. The detailed, scientific and technical-legal engagement should be done at the Standing Committee level, and I urge this house to refer this Motion to the Economics and Natural resources Committees for

appropriate unpacking and to report to this House before the end of August instant.

I so submit.